



Chapter 16: Managing Employee Motivation and Performance

1. What is Motivation?

Motivation is the set of internal and external forces that cause individuals to behave in certain ways. It energizes people to stay interested and committed to achieving goals.

2. What are the Determinants of Individual Performance?

Performance depends on:

- **Motivation:** Desire to do the job
 - **Ability:** Capability to do the job
 - **Work Environment:** Availability of resources
-

3. What are the Content Perspectives on Motivation?

These address the question “**What motivates people?**”

Major Theories:

- **Maslow’s Hierarchy of Needs**
 - Physiological → Security → Belongingness → Esteem → Self-actualization
 - **Alderfer’s ERG Theory** (not deeply covered in slide)
 - **Herzberg’s Two-Factor Theory**
 - **Hygiene Factors:** Prevent dissatisfaction (e.g., salary, conditions)
 - **Motivators:** Drive satisfaction (e.g., recognition, achievement)
 - **McClelland’s Theory**
 - Needs for Achievement, Power, and Affiliation
-

4. What are the Limitations of Maslow's Theory?

- Needs don't always follow a strict order
 - Cultural differences exist
 - Individuals may be driven by different needs at the same time
-

5. What is the Two-Factor Theory (Herzberg)?

Motivation stems from two sets of factors:

- **Hygiene Factors:** Their absence causes dissatisfaction
 - **Motivator Factors:** Their presence increases satisfaction
-

6. What are the Process Perspectives on Motivation?

These focus on **how** motivation occurs and **why** people choose certain behaviors.

Main Theories:

- **Expectancy Theory:** $\text{Motivation} = \text{Expectancy} \times \text{Instrumentality} \times \text{Valence}$
 - **Porter-Lawler Extension:** $\text{Performance} \rightarrow \text{Rewards} \rightarrow \text{Satisfaction}$
 - **Intrinsic Rewards:** Internal (e.g., pride)
 - **Extrinsic Rewards:** External (e.g., pay)
 - **Equity Theory:** People compare their inputs/outputs to others
 - **Goal-Setting Theory:** Motivation through clear, challenging goals
-

7. What are the Key Elements of Goal-Setting Theory?

- **Goal Difficulty:** Challenging yet attainable
 - **Goal Specificity:** Clear and measurable
 - **Acceptance:** Agreement by the individual
 - **Commitment:** Personal attachment to achieving the goal
-

8. What is Reinforcement Theory?

This theory views motivation as a function of consequences:

- **Positive Reinforcement:** Reward after desired behavior
 - **Avoidance:** Preventing negative outcomes by performing desired behavior
 - **Punishment:** Negative outcome following undesired behavior
 - **Extinction:** Ignoring undesired behavior to reduce occurrence
-

9. What are Popular Motivational Strategies?

A. Empowerment & Participation

- **Empowerment:** Letting employees set goals and make decisions
- **Participation:** Giving employees a voice in decisions affecting them

B. New Working Arrangements

- **Compressed Work Schedule:** 40 hours in < 5 days
 - **Flextime:** Employees choose work hours within a range
 - **Job Sharing:** Two employees share one full-time job
 - **Telecommuting:** Working remotely (usually from home)
-

10. How Do Reward Systems Affect Motivation?

Reward System Components

- **Definition & Evaluation** of performance
- **Types of Rewards:**
 - **Intrinsic** (internal satisfaction)
 - **Extrinsic** (pay, promotion, etc.)

Effective Reward Systems Should:

- Meet individual needs
 - Be perceived as fair
 - Be comparable with other organizations
 - Recognize different individual needs
-

11. What is Equity Theory in Simple Terms?

People assess fairness by comparing their own input/output ratio to that of others.

If **imbalance is perceived**, motivation decreases.

12. How Does Goal Setting Translate to Performance?

Factors like **goal difficulty**, **specificity**, **acceptance**, and **organizational support** drive effort, which leads to performance and ultimately to outcomes (rewards).

Summary

Perspective	Key Focus
Content Perspectives	What motivates people (needs, factors)
Process Perspectives	How motivation works (decision processes, fairness, goals)
Reinforcement Theory	How behavior is shaped by its consequences
Motivational Strategies	Real-world practices like empowerment, flexible work, and reward systems

Would you like a **printable summary sheet**  or a **mind map**  for this chapter? I can prepare that for quick revision!